

IN A WORLD filled with doom and gloom, the commentary for the Indian banking industry—with assets of ₹216 lakh crore—is growing better and better every day. There is no threat to financial stability, as there was in the aftermath of the IL&FS collapse or the Russia-Ukraine war. The banking system is profitable, growing and adequately capitalised.

The net profits of the sector have performed a somersault of sorts—from a loss of ₹23,397 crore in 2018-19 to a record ₹1.82 lakh crore of profit in 2021-22. In the first half of FY23, net profits have registered 40 per cent-plus growth compared to the corresponding period last year. The Reserve Bank of India's latest stress test on banks, the life blood of the economy, shows that India's banks would be able to withstand even more severe stress conditions. The gross non-performing assets (GNPA) of banks have almost halved to 5 per cent from the highs of 2018, and they have built a strong NPA provisioning coverage ratio of more than 70 per cent.

The temptation for banks to grow fast and capture growth opportunities is quite visible now. But they have to tread carefully since rising interest rates and inflation are likely to knock borrowers' affordability and repayment capabilities, alongside several other challenges.

The first big challenge is sustainability of the current loan growth. After remaining in single digits for the past three years, bank credit growth reached a high of 17.5 per cent in December 2022, the highest in over 11 years. In recent years, consumer banking has been the main driver of bank lending, but there have been encouraging signs in wholesale lending as well, especially in infrastructure, PLI-related sectors, renewable energy, and MSMEs. According to Jitendra Upadhyay, Senior Equity Analyst at Bonanza Portfolio Management, the banking sector is currently in one of its best periods, and public sector banks (PSBs) will be able to participate significantly in the credit up-cycle due to cleaner and stronger balance sheets. "Private banks will get tough competition from larger PSBs," says Upadhyay.

Given the global downturn, its effect on exports, and inadequate capacity utilisation of corporates that inhibit its future expansion, the sustainability of this growth



JURY WINNERS

1

Bank of the Year
ICICI Bank

2

**Special Jury Award
for Consistent
Transformation**
State Bank of India

3

Lifetime Achievement Award
Arundhati
Bhattacharya, former
Chairman, SBI;
Chairperson & CEO,
Salesforce India

4

Best Bank in Innovation
ICICI Bank

5

Best Bank in Fintech Initiative
Bank of Baroda

6

**Best Bank in Talent
& Workforce**
Bank of Baroda

7

Best Fintech in Payments
PayU India

8

**Best Fintech in Value Added
Services** Perfios